

Table 4.2. Example of a budget with detailed categories

Budgeting category	Monthly actual budget
Housing	\$1,000
Insurance	\$400–\$800
Food	\$400
Savings/Retirement	\$400
Transportation	\$400
Utilities	\$200–\$400
Recreation	\$200–\$400
Personal	\$200–\$400
Miscellaneous	\$200–\$400
Giving	\$200–\$400
Health	\$200–\$400

Notice that this budget does not include a category for debt. Because not everyone has debt, many sample budgets that you find online will leave this category out. If you do have debt (student loan, credit card bills, and so forth), you'll need to figure out how much money you can dedicate each month toward paying it off as quickly as possible while still covering the other categories.

Budgeting Hierarchy

As I write this book, the world is being devastated by the coronavirus, and 40 million Americans are unemployed through no fault of their own. This volatile situation is a perfect example of why people need an **emergency fund**. Life is unpredictable, and you can go from financial comfort to instability in an instant. With this